sheer size in physical and financial assets, they have a tremendous impact on the global economic system. Allocation of factors of production and control of investment flows give them a leverage vis-à-vis international political units, such as the states. It is said that through payment of royalties and taxes, establishment of new plants, or closure of old ones, decisions on location of plants and advertising through MNCs can affect developing countries' economic structure, tax revenues, level of employment and consumption patterns which might sometimes lead to social strains.

The MNCs might also be politically involved as evident from the oft cited cases of the "banana republics" and the involvement of the United Fruit Company which tried to keep in power that government which would allow them to operate uninterruptedly. When a hostile regime under general Arbenz came to power, the company's vital interest stood threatened. In 1952, the Arbenz government introduced land reforms aiming to expropriate uncultivated portions of large plantations. As the United Fruit Company had the largest land holding with most of it being uncultivated, it became apprehensive of Arbenz's reform programme. The company, therefore, assisted the American government's efforts to overthrow the hostile regime by supporting the exiles in Honduras and Nicaragua. The coupd'état ultimately toppled the Arbenz government and he had to flee. Another most cited case is that of the International Telephone and Telegraph Company, which promoted a scheme to topple the Allende government in Chile where the US government officials already had undertaken programmes to topple the Allende government.[29] There have been cases where the interest of the home government and that of the MNC had coincided, leading to the intervention of the host country by the home government ultimately serving the interest of the MNC. Some of the most cited cases of MNCs and host government nexus are the American government's involvement in the overthrow of Mossadegh regime in Iran in 1953, resulting in new operating privileges for American oil companies and European oil companies, strong support of the French–British–Israeli invasion of the Suez Canal in 1956, and the American government's abortive Bay of Pigs invasion of 1961 to oust Castro and to do something to preserve the interests of